

to elite peers and moves them into a school with the highest exposure to elite peers whilst simultaneously taking a high SES student from the high exposure school and moving them to the low exposure school. The different simulations vary both the number of students within each school that are reassigned and the number of schools that are included in the reassignment. Once the students have been reassigned, we re-calculate the mean exposure to elite peers to all pupils within the schools that have seen their student body change. Using our estimates of the effect of exposure to elite peers on the percentile earnings rank from [Table 6](#), we simulate each student’s percentile rank and re-estimate the rank-rank regression above. We compare the estimate of the intergenerational persistence in income under each simulation with the actual degree of intergenerational persistence estimated in the true data (see [section A3](#) for full details on how we conduct the simulation).

[Table A11](#) shows that for all simulations, intergenerational mobility rises once the exposure to elite peers is re-balanced across low and high SES students, as indicated by the higher intercept and the flatter slope coefficient. The increase in intergenerational mobility is shown graphically for the most extreme simulation we considered (moving 5 students from each school in Norway) in [Figure A10](#). After the simulation, the intercept is higher suggesting a higher earnings rank for very low SES students, and the gradient of the relationship between parent and child percentile rank is flatter.

9 Conclusion

Socioeconomic inequalities in elite education are high, even in Scandinavian countries where income inequality is notoriously low. The main contribution of this paper is to show that social interactions in high school plays a key role in driving inequalities in education and earnings outcomes within and across generations.

First, we show that Norway’s high school admission system creates high levels of segregation of children of elite educated into the same high schools. Moreover, we show that being exposed elite peers in high school has a stronger positive effect on the probability of enrolling in an elite degree and on the earnings of high SES student than on those of low SES students. Together, these findings suggest that this segregation is responsible for reducing mobility at the bottom of the socioeconomic distribution while exacerbating persistence at the top.